

INSURANCE AND PENSIONS COMMISSION



Life Assurance Industry Report for the Quarter Ended 30 September 2018

160 Rhodesville Avenue
Greendale
Harare

Tel. +263 242 443358/443261/443422

Cell: +263 772 154 281, +263 772 154 282, +263 772 154 283, +263 772 154 284

Fax. +263 242 443 304

E-MAIL: enquiry@ipec.co.zw



Table of Contents

1. Executive Summary	4
Section A: Life Assurance Industry	7
2. Performance in Terms of Business Written	8
3. Capitalisation.....	11
4. Asset Quality.....	12
5. Reassurance.....	15
6. Actuarial Matters.....	15
7. Earnings.....	16
8. Liquidity	17
9. Market Share.....	18
Section B: Life Reassurance Industry	20
10. Performance in Terms of Business Written	21
11. Capitalisation.....	22
12. Asset Quality.....	22
13. Actuarial Matters.....	24
14. Earnings.....	25
15. Liquidity	26
16. Market Share.....	26
Section C Appendix	28



Disclaimer

This report, including any enclosures and attachments, has been prepared by the Insurance and Pension Commission solely for informative purposes to the insurance industry stakeholders, and may not be reproduced, redistributed, communicated to a third party or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if this report is used for any other purposes other than the above mentioned intended purpose.

1. Executive Summary

- 1.1 As at 30 September 2018 there were 11 registered life assurers, 5 composite reinsurers and 1690 agents.
- 1.2 Gross Premium Written (GPW) for life assurers for the nine months ended 30 September 2018 amounted to \$300.69 million, reflecting a 13.06% growth from \$265.95 million that was reported for the comparative period in 2017.
- 1.3 Growth in GPW was mainly driven by strong growth in funeral assurance business and fund business as clients' tastes shift.
- 1.4 On the other hand, GPW reported by composite reinsurers amounted to \$6.91 million for the period under review, a growth of 17.46% from \$5.88 million reported for the nine months ended 30 September 2017.
- 1.5 Life assurers' industry average retention ratio was 98.49% for the nine months ended 30 September 2018, indicating a low reinsurance uptake by the sector.
- 1.6 Total industry assets for life assurers and assets supporting life reinsurance amounted to \$2.80 billion as at 30 September 2018 a growth of 6.47% from \$2.64 billion reported as at 30 June 2018.
- 1.7 The main driver of asset base growth was the significant rise in value of equities which was witnessed on the back of the bull run witnessed on the Zimbabwe Stock Exchange, which also resulted in more funds being channelled towards this asset class.
- 1.8 The total prescribed assets investments reported by life assurers and composite reinsurers as at 30 September 2018 were \$322.22 million and \$3.28 million respectively.
- 1.9 This translated into industry average prescribed asset ratio for life assurers and composite reinsurers of 11.66% and 8.01% respectively as at 30 September 2018, which were above the required minimum prescribed ratio of 7.5%.

- 1.10 Notwithstanding this level of compliance at industry level, 2 life assurers and 2 reinsurers were not compliant with the minimum prescribed asset ratio as at 30 September 2018.
- 1.11 A total of 3 out of 11 operating life assurance companies reported capital levels, which were below the minimum required capital of \$5 million, as at 30 September 2018. These undercapitalised players should put in place comprehensive recapitalisation plans. The Commission will be closely monitoring their progress.
- 1.12 Out of the five registered composite reinsurers, a total of four composite reinsurers reported capital levels above the minimum required capital of \$7.5 million.
- 1.13 Although the capital reported by Zep Reinsurance Company's local office is below the minimum regulatory requirement, the local office is backed by its parent company in Kenya with a capital level in excess of \$100 million.
- 1.14 The life assurance industry reported total profit after tax of \$314.85 million for the nine months ended 30 September 2018, a decrease of 67.85% from \$979.27 million reported for the comparable period in 2017.
- 1.15 The significant drop in profit was as a result of a drop in investment income from \$934.09 million for the first 9 months of 2017 to \$253.87 million for the 9 months to 30 September 2018.
- 1.16 Net profit after tax reported by composite reinsurers for life reinsurance business for the 9 months ended 30 September 2018 amounted to \$1.08 million, a decrease of 9.57% from \$1.19 million reported for the same period in 2017. This was mainly driven by significant capital gains reported
- 1.17 Total claims incurred by the life assurance industry for the nine months which ended on 30 September 2018 amounted to \$131.99 million, a decrease from \$141.59 million for the comparable period in 2017.
- 1.18 Composite reinsurers also reported a decline of 9.53% in net incurred claims from \$2.78 million for the nine months ended 30 September 2017 to \$2.52 million for the period under review.

1.19 In the wake of current challenges which includes multi-tier pricing system and rising inflation, players should be innovative and develop products that appeal to the changing needs of both current and prospective policyholders.

1.20 The Commission also encourages players to increase their presence in the micro insurance space in line with the broader national financial inclusion strategy.

1.21 The table below shows the key performance indicators for the period under review.

Table 1: Key Performance Indicators

Life Assurers				Life Reinsurers		
Financial Aspect	Sept 2017	Sept 2018	Growth	Sept 2017	Sept 2018	Growth
GPW (\$000)	265,950	300,686	13.06%	5,883	6,910	17.46%
NPW (\$000)	262,080	296,159	13.00%	5,114	6,151	20.28%
Net claims (\$000)	141,593	131,985	-6.79%	2,782	2,517	-9.53%
Management expenses	68,084	73,018	7.25%	1,109	1,137	2.52%
Commissions (\$000)	12,846	13,989	8.9%	1,412	1,715	21.46%
Total costs (\$000)	222,523	218,997	-1.58%	5,303	5,369	1.24%
Net Profit (\$000)	979,267	314,854	-67.85%	1,191	1,077	-9.57%
	Jun 2018	Sept 2018	Growth	Jun 2018	Sept 2018	Growth
Total Assets (\$000)	2,598,027	2,762,983	6.35%	40,178	48,433	20.54%
Total Liabilities (\$000)	2,117,854	1,993,749	-5.86%	18,083	22,834	26.27%
Capital (\$000)	480,173	504,813	5.13%	22,899	17,986	-21.46%
Capital to liability ratio	23.00%	26.00%	2.00%	122.00%	79.00%	-48.23%
Prescribed assets (\$000)	309,359	322,221	3.85%	3,329	3,276	-1.59%
Prescribed assets ratio	13.18%	11.66%	-152bp*	8.29%	8.01%	-28bp*

*Basis points



Section A: Life Assurance Industry

2. Performance in Terms of Business Written

- 2.1 Gross Premium Written (GPW) reported by direct life assurers for the nine months ended 30 September 2018 amounted to \$300.69 million, representing growth of 13.06% from \$265.95 million recorded in the comparative period in 2017.
- 2.2 The growth in GPW was mainly driven by funeral assurance and fund business as confidence in other type of life assurance products remained low.
- 2.3 Growth in funeral assurance business may be as a result of the desire by individuals to have decent burial for their loved ones and themselves especially in the current difficult economic environment.
- 2.4 For the traditional life assurance products growth was recoded in term assurance 24.64%, endowment 232.88% and a lacklustre growth of 7.63% in pure endowment.
- 2.5 This growth was however less significant in absolute terms compared to percentage terms. Whole life and GLA policies recorded negative growth of 13.83% and 16.49% respectively
- 2.6 Table 2 below shows the growth in GPW by class of business.

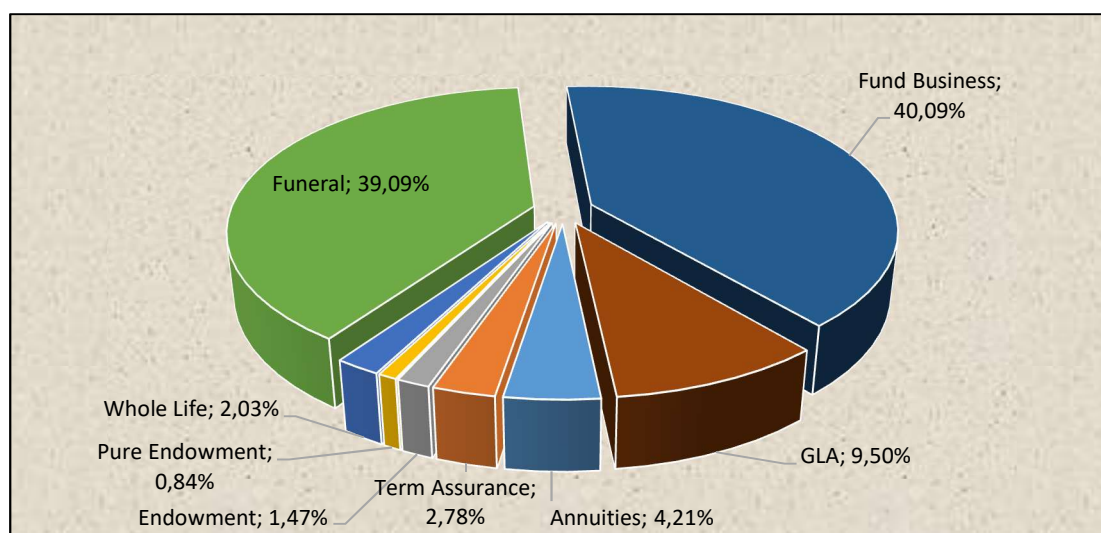
Table 2: Breakdown of GPW by product type

Type of product	Sept-17 \$ (000)	Sept-18 \$ (000)	Growth %
1. Annuities	12,149	12,580	3.55%
2. Term Assurance	6,907	8,609	24.64%
3. Endowment	1,317	4,384	232.88%
4. Pure Endowment	2,333	2,511	7.63%
5. Whole Life	7,462	6,430	-13.83%
6. Funeral	95,569	117,415	22.86%
7. Fund Business*	105,498	119,902	13.65%
8. GLA	34,715	28,990	-16.49%
Total	265,950	300,484	13.06%

* This figure is also reported in the insured funds pensions report as member contributions.

- 2.7 As shown in Figure 1 below, fund business and funeral assurance remained the dominant business classes and accounted for 78.18% of GPW.
- 2.8 These two classes by far eclipsed the traditional life assurance business classes which contributed the remaining 20.82%.
- 2.9 The concentration of business in non-traditional life assurance products maybe as a result of the current macroeconomic environment and changing needs of policyholders which makes these products less appealing.
- 2.10 There is need for industry players to be innovative and come up with more appealing inflation indexed traditional life assurance which meet the needs of policyholders.
- 2.11 Players may also consider increasing their foothold in traditional life assurance products through developing affordable micro insurance products that appeal to unassured lower end of the market.

Figure 1: Breakdown of GPW by Product Type



- 2.12 For the 9 months ending on 30 September 2018 a total of 8 life offices recorded growth in GPW ranging from 5.16% to 86.56%, compared to the comparative period in 2017. The remaining players recorded a decrease in GPW ranging from -9.79% to -38.31%.
- 2.13 Table 3 below shows the breakdown and growth of GPW by industry players.

Table 3: Breakdown of GPW by Company

Name of Company	GPW (\$ 000)		Percentage Growth
	30 Sep 2017	30 Sep 2018	
1. CBZ Life	7,327	8,322	13,58%
2. Econet Life	7,122	13,287	86,56%
3. Evolution Health and Life	531	479	-9,79%
4. Fidelity Life	8,220	9,626	17,10%
5. First Mutual Life	26,022	30,722	18,06%
6. Getsure Life	1,257	1,615	28,48%
7. Heritage Life	1,039	641	-38,31%
8. Nyaradzo Life	68,039	78,295	15,07%
9. Old Mutual Life	122,032	128,323	5,16%
10. ZB Life	8,462	9,833	16,20%
11. Zimnat Life	15,899	19,543	22,92%
Total	265,950	300,686	13,06%

2.14 In terms of business mix, recurring business remains the mainstay of the life assurers' business, accounting for 80.05% of GPW for the nine months ended 30 September 2018, compared to new business which contributed only 19.95 of GPW for the same period (see appendix A5).

2.15 The source of business remained heavily skewed towards corporate business, accounting for 58.72% of the GPW for the period under review compared to 41.28% that was attributable to individual life business (see appendix A5).

2.16 Players are encouraged to develop new innovative products that are target at the low end of the market in the spirit of macro insurance. This will help to increase premiums from new business and individual life business. This will dovetail well with the broader national financial inclusion strategy.

2.17 For the 3 quarters which ended 30 September 2018 lapsed policies were 155,932 out of 2,036,577 lapsable policies giving a lapse ratio of 7.66%, an increase from 5.45% reported for the comparable period in 2017.

- 2.18 The number of not taken up policies was 10,719 an increase from 7,925 policies reported for the same period last year. Premium for not taken up policies amounted to \$1.05 million compared to \$0.063 million for the respective periods.
- 2.19 Players are encouraged to have well trained sales staff in order to reduce mis-selling which usually results in not taken up policies and lapsed policies.

3. Capitalisation

- 3.1 Statutory Instrument 95 of 2017 requires life assurance players to meet a minimum capital requirements of \$5 million after adjusting assets and liabilities as per the dictates of the same statutory instrument.
- 3.2 A total of 8 life assurance players reported capital positions which were compliant with the minimum capital requirement of \$5 million as at 30 September 2018.
- 3.3 Compliance with minimum capital requirement is critical for life assurance players as it enhances the safety of policyholders.
- 3.4 Players with capital levels below the minimum should put in place sound recapitalisation plans and seek the approval of the Commission as required by Statutory Instrument 95 of 2017.
- 3.5 Table 4 below shows the capitalisation of life assurance companies.
- 3.6 The decrease on Fidelity life assurance's capital position was mainly driven by a decrease in assets of \$4.46 million as compared to a decrease in liabilities of \$1.79 million. The decrease in assets was mainly driven by a decrease in other investments of 39%.
- 3.7 The significant growth in the capitalisation of Old Mutual life assurance was mainly driven by an increase in assets by \$152.37 million which was more than the increase in liabilities of \$119.82 million. Assets growth was driven by increase in value of equities.
- 3.8 The Commission is making appropriate regulatory interventions on the undercapitalised life assurance players in line with statutory instrument 95 of 2017 in a bid to foster compliance.

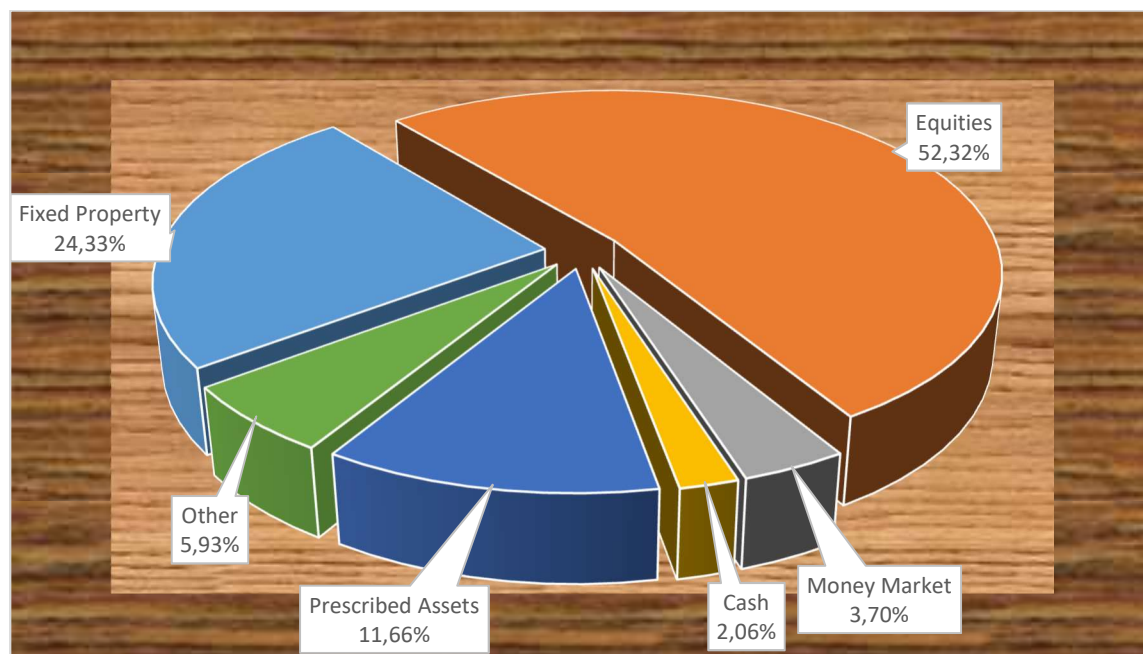
Table 4: Capitalisation of Life Assurers

Company	Reported Capital Position (\$ 000)			
	Dec 2017	Mar 2018	June 2018	Sept 2018
1. CBZ Life	17,587	19,049	18,853	19,817
2. Econet Life	11,016	10,752	13,466	15,668
3. Evolution Life	3,210	3,233	3,186	3,202
4. Fidelity Life	16,741	2,552	6,666	3,999
5. First Mutual	74,711	77,236	82,097	74,691
6. Getsure Life	4,254	3,363	7,075	5,391
7. Heritage	2,170	620	690	713
8. Nyaradzo	14,069	12,680	15,931	17,192
9. Old Mutual	271,532	248,578	288,326	320,877
10.ZB Life	15,995	16,109	16,621	16,590
11.Zimnat	25,491	25,646	27,262	27,532
Total	456,776	419,818	480,173	507,273

4. Asset Quality

- 4.1 The asset base for the life assurance industry as at 30 September 2018 stood at \$2.76 billion and this represents a positive growth of 6.35% compared to an asset base of \$2.6 billion that was reported as at 3 June 2018
- 4.2 Growth in asset base was mainly driven by an increase of 10.85% in the value of equities from \$1.3 billion as at 30 June 2018 to \$1.44 billion as at 30 September 2018. The growth in the value of equities was driven by a bull run on the Zimbabwe stock exchange for the period from 1 July 2018 to 30 September 2018.
- 4.3 As shown in figure 2 below the asset base for life assurers was mainly concentrated in 2 asset classes namely equities and properties which accounted for 76.41% of total assets.

Figure 2: Asset Breakdown



- 4.4 The asset profile of the life assurance industry is in, the view of the Commission, in line with the industry liability profile.
- 4.5 However, the industry average asset allocation to equities of 52.15% is above the maximum limit of the asset class of 45% as stipulated in Circular 3 of 2013. This may be due to a bull run on the stock market which resulted in significant increases in equity values.
- 4.6 Although the Commission is mindful of the fact that owing to the attractiveness of equities in the wake of inflationary pressures, compliance with Circular 3 maybe a challenge, players should keep adequate liquid assets at all times to enable them to pay claims and other operating costs.
- 4.7 As shown in table 5 below, the life assurance industry reported a total of \$321.70 million was invested in prescribed assets which translated into an industry prescribed asset ratio of 11.65%, which was above the regulatory minimum of 7.5%.
- 4.8 However, of the 11 operating players 3 players reported prescribed asset ratios that were below the minimum prescribed asset ratio of 7.5% as at 30 September 2018.

4.9 The 4 players who are not compliant with the minimum prescribed asset ratio should invest a total of \$782,000 as at 30 September 2018 to be compliant.

Table 5: Prescribed Asset Ratios of Life Assurers

Company	PA Investments	Total assets	PA Ratio	Amount required to be compliant
1. CBZ Life	5,031	26,002	19.35%	-
2. Econet Life	1,885	25,842	7.29%	53
3. Evolution Life	100	3,670	2.72%	175
4. Fidelity	38,389	104,612	36.70%	-
5. First Mutual	21,800	256,017	8.52%	-
6. Getsure	-	7,381	0.00%	554
7. Heritage Life	524	1,573	33.31%	-
8. Nyaradzo	11,362	137,450	8.27%	-
9. Old Mutual Life	217,624	2,030,267	10.72%	-
10. ZB	4,297	53,862	7.98%	-
11. Zimnat	20,685	115,783	17.87%	-
Total	321,697	2,762,459	11.65%	782

4.10 Players are required to comply with the minimum prescribed asset ratio at all times to avoid being penalised by the Commission.

4.11 The Honourable Minister of Finance and Economic Development in his maiden 2019 Budget statement increased the minimum prescribed asset ratio to 15%.

4.12 Players should put in place their compliance plans and send them to the Commission not later than the end of January 2019.

5. Reassurance

- 5.1 Reassurance uptake in the life assurance industry remains relatively low, with the industry ceding only \$4.5 million out of the GPW of \$300.69 million for the nine months period ended 30 September 2018.
- 5.2 This translates to a retention ratio of 98.49% (see appendix A1).
- 5.3 Industry players should periodically assess their capacity to retain risk and review their reinsurance arrangements accordingly so that they are not exposed in times of bad claims experience.
- 5.4 More so given that the Commission has noted the emergence of United States dollar denominated policies, on which life insurers may not have yet accumulated adequate critical mass to enable diversification of underwriting risk.
- 5.5 Proper management of business risk is of paramount importance for life insurance industry players as this helps to improve reputation of the industry and also in attracting investments into the industry.

6. Actuarial Matters

- 6.1 The life insurance industry was considered to be having adequate assets to back their actuarial liabilities as at 30 September 2018.
- 6.2 This is evidenced by the fact that as at 30 September 2018, the industry reported total technical liabilities amounting to \$1.89 billion against total assets amounting to \$2.76 billion giving excess assets after deducting technical liabilities of \$0.87 billion (See appendix A3)
- 6.3 The main component of technical liabilities were future policy holder benefits amounting to \$1.88 billion, while unearned premium reserve and incurred but not reported claims reserve amounted to \$2.3 million and \$2.2 million respectively.
- 6.4 The average assets to liability ratio of the life insurance industry as at 30 September 2018 was 146.09 percent, indicating a healthy industry balance between assets and liabilities (See appendix A1).

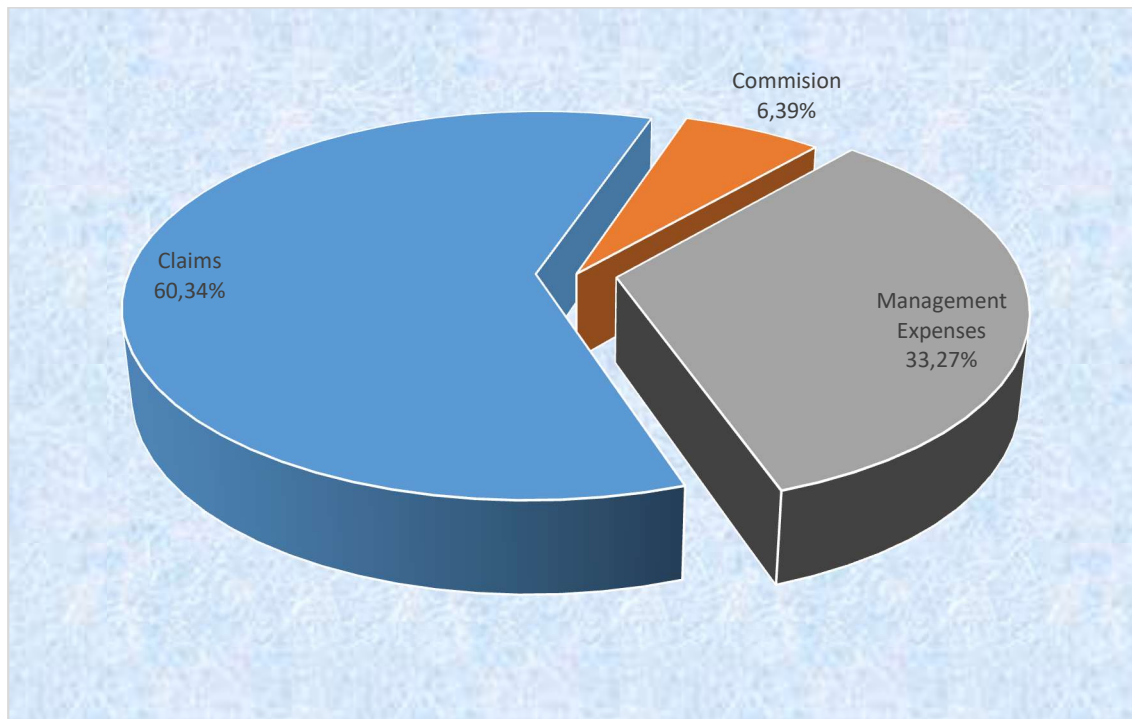
- 6.5 Players should periodically review their reserves to ensure that they are adequate and there are sufficient assets to cover the liabilities as and when they fall due.

7. Earnings

- 7.1 Direct life assurers reported net profit after tax of \$314.85 million for the 9 months ended 30 September 2018, a decrease of 67.98% from net profit after tax reported for the comparable period in 2017.
- 7.2 This drop in profits was mainly driven by a decrease in the rate of increase of equity investments on the Zimbabwe stock exchange. This is evidenced by a decrease of 72.62% decrease in investment income from \$929.76 million for the first 3 quarters of 2017 to \$314.85 million for the first 3 quarters of 2018.
- 7.3 Total net technical profits reported by the life assurance industry for the nine months ended on 30 September amounted to \$86.64 million, an increase of 119.01% from net technical profit reported for the same period in 2017 of \$39.56 million.
- 7.4 The increase in technical profits was mainly driven by an increase in NPW by 12.54% which resulted from a decrease in uptake of reinsurance. (See appendix A2).
- 7.5 Average return on equity for the life assurance industry was 62.44% while return on assets for the same period was 11.36%, an indication of super profits for the industry.
- 7.6 These super profits maybe as a result of a significant rise in asset values with sums assured remaining at the values agreed in the insurance contracts especially for those products which are not inflation linked.
- 7.7 The industry players are encouraged to devise ways to pass on some of the profits to policyholders as a way of cushioning the same policyholders against inflation thereby building confidence in the insurance industry.
- 7.8 Claims were the major components of costs, constituting 60.34% while management expenses and commission constituted 33.27% and 6.39%

respectively. Figure 3 below shows the breakdown of costs for the life assurance industry.

Figure 3: Breakdown of Total Costs for Life Assurers



8. Liquidity

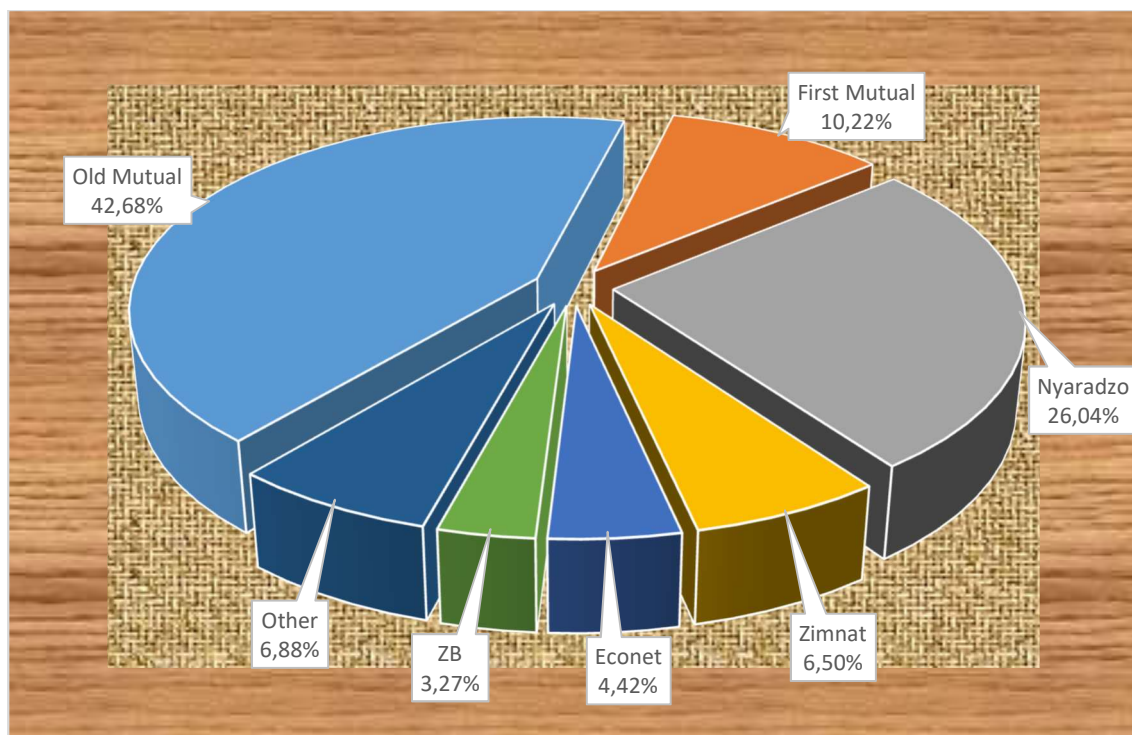
- 8.1 Liquid assets (cash and money markets) amounted to \$159.73 million, constituting 5.76% of the total asset base of \$2.76 billion as at 30 September 2018 (See appendix A7).
- 8.2 The seemingly lower percentage of assets invested in liquid assets is, in the view of the Commission, consistent with the nature of liabilities of the industry which are long term in nature.
- 8.3 Working capital for the life assurance industry as at 30 September 2018 amounted to \$242.15 million indicating a health excess current assets over current liabilities (See appendix A7).
- 8.4 The average acid test ratio for the industry as at 30 September 2018 was 321% indicating that the industry has got adequate readily liquid assets to cover current liabilities (See appendix A7).

- 8.5 Notwithstanding the fact that the amount invested in liquid assets is a small proportion of total assets, the high acid test ratio may also indicate that the industry is holding more liquid assets than required.
- 8.6 Industry players should continuously review their liquidity positions to make sure that they have adequate liquidity to meet their obligations.

9. Market Share

- 9.1 As shown in Figure 4 below, the bulky of GPW for the nine months ended 30 September 2018 was concentrated in 3 entities contributing 78.94% of the market share, indicating an oligopoly marker structure.
- 9.2 The remaining 20.64% was written by 8 entities. Market concentration is also reflected by a relatively high Herfindal index of 2,646 which was recorded by the life assurance industry in terms of GPW.

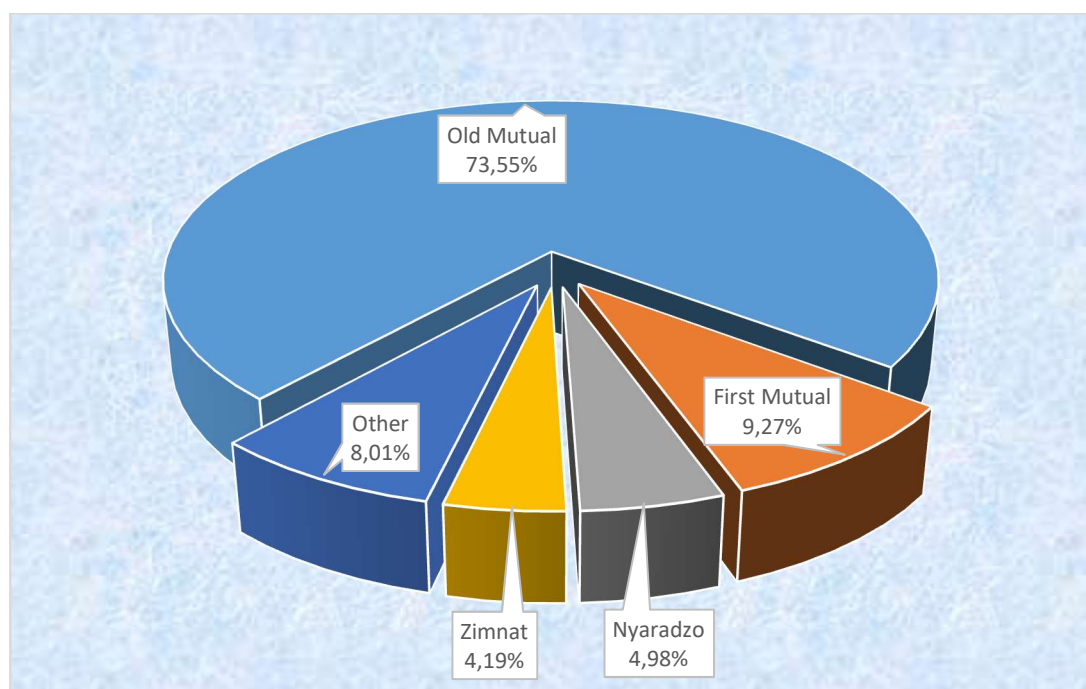
Figure 4: Market share of life assurers by GPW



- 9.3 As shown in Figure 5 below, the asset base of the life assurance industry was concentrated in 2 players who control 82.99% of the asset base, these are Old Mutual Life assurance with 73.55% and Nyaradzo life assurance with 9.29%.

- 9.4 The remaining 9 life assurance players control 17.01% of the industry assets
- 9.5 High market concentration of assets in a few players is also evident in the industry's high herfindal index of 5,581.

Figure 5: Market Share of Industry by Assets



**Other assets consist of property plant and equipment, motor vehicles, furniture and fitting, inventory, prepayments and related party debtors.*



Section B: Life Reassurance Industry

The statistics presented in this section of the report pertain to the composite insurers' life assurance business only except for the capital positions which comprises of both life and non-life business. Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

10. Performance in Terms of Business Written

10.1 Total GPW reported by composite reinsurers in respect of life insurance for the nine months ended 30 September 2018 amounted to \$6.91 million, representing 17% growth from \$5.88 million written for the comparable period in 2017.

10.2 Growth in GPW came from positive growth recoded by FBC reinsurance, First Mutual reinsurance and Zep reinsurance of 25%, 35% and 71% respectively.

10.3 For the 3 quarters which ended 30 September 2018 67% of the GPW came from new business while the remaining 33% came from new business.

10.4 On breakdown of business by business mix 81% of GPW came from corporate lines while 19% came from personal lines.

10.5 Table 6 below shows breakdown of premium by industry players

Table 6: Breakdown of GPW

Name Of Company	Sept 2017 (\$000)	Sept 2018 (\$000)	Growth
	GPW	GPW	GPW%
1. Baobab Re	2,955	2,890	-2.20%
2. FBC Re	522	651	24.71%
3. FM RE	1,502	2,031	35.22%
4. Grand Re	123	0	-100.00%
5. Zep Re	781	1,338	71.32%
Total	5,883	6,910	17.46%

10.6 Composite reinsurers should periodically review risk management solutions that they offer to direct assurers in terms of their relevance and effectiveness to remain competitive.

10.7 Composite reinsurers retroceded life reinsurance premiums amounting to \$0.76 million out of a total GPW of \$6.91 million translating into a retention ratio of 89.02%.

10.8 Industry players should periodically review their retrocession arrangements to ensure that they are effective and efficient as risk management tools.

11. Capitalisation

11.1 All composite reinsurers reported capital levels above the minimum capital requirement as at 30 September 2018 before adjusting assets with haircuts provided for in Statutory Instrument 95 of 2017.

11.2 The life reinsurance industry is composed entirely of composite reinsurers who also write short term business. The minimum capital requirement for composite reinsurers is \$7.5 million as stipulated in Statutory Instrument 95 of 2017.

Table 7: Capitalisation of Composite Reinsurers

Company	Dec 2017	Mar 2018	Jun 2018	Sept 2018
1. Baobab Re	44,566	44,861	45,940	45,065
2. FBC Re	26,708	28,060	28,580	21,804
3. FM Re	9,560	9,318	9,429	10,042
4. Grand Re	9,244	9,735	9,821	10,502
5. Zep Re*	6,082	5,607	5,965	7,358
Total	96,082	97,581	99,735	94,771

11.3 Zep reinsurance company's capital position is backed by its parent company which domiciled in Kenya and is deemed to be fully capitalised*.

12. Asset Quality

12.1 Composite reinsurers asset base that supports their life reinsurance business amounted to \$48.43 million as at 30 September 2018 a growth of 20.54% from \$40.18 reported on 30 September 2017.

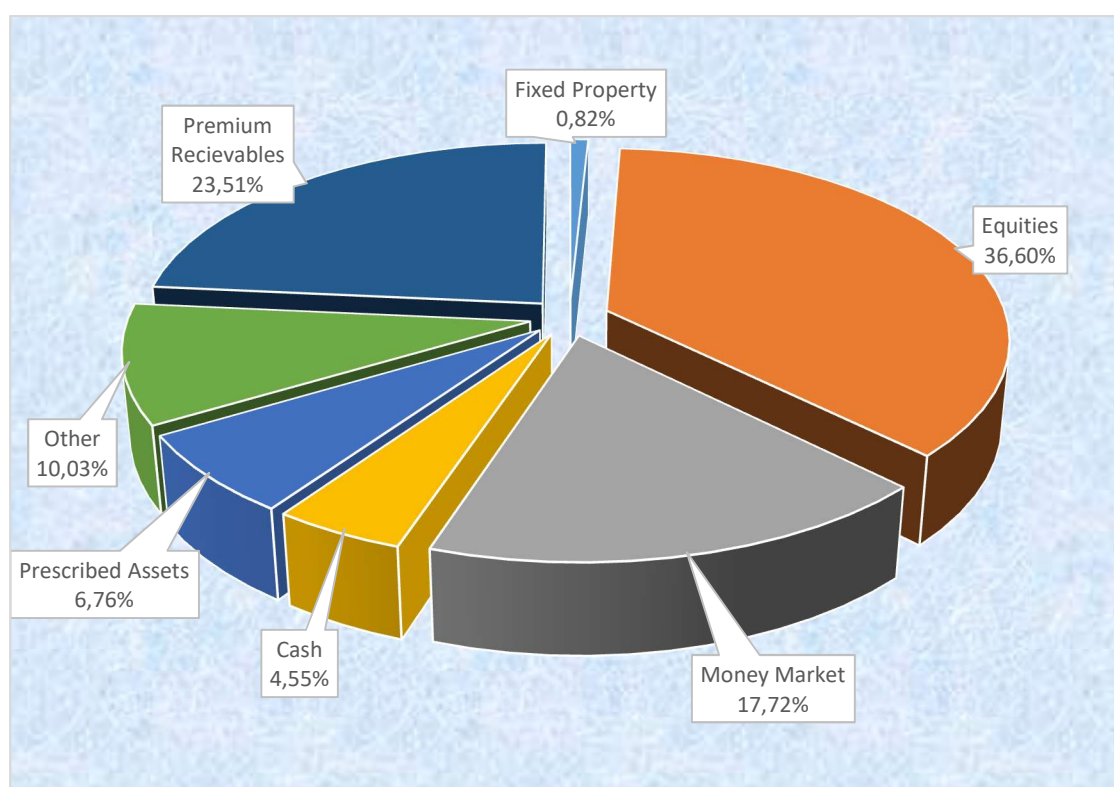
12.2 Growth in assets was mainly driven by a 63.49% increase in equities and a 194.20 % increase in other receivables and prepayments. Other assets consist of operating assets such as plant property and equipment, motor

vehicles, electronic equipment and current assets such as prepayments, other receivables, inventory and prepayments.

12.3 The asset base was concentrated in 3 asset classes which are equities, money markets and receivables constituting 77.83% of the total asset base.

12.4 Cash and cash equivalents were 22.27% of total assets, which is quite commendable as the liabilities of life reinsurance are short term in nature.

Figure 6: Breakdown of Assets.



12.5 The Commission continues to encourage composite reinsurance players to periodically review their investment portfolios in line with their liability profiles, and doing so within the confines of Circular 2 of 2013 on Investment guidelines.

12.6 The asset profile of the industry is in the opinion of the Commission in line with the liability profile.

12.7 The average prescribed asset ratio for composite reinsurers on assets supporting life reinsurance business as at 30 September 2018 was 8.01% which is above the required minimum prescribed ratio 7.5%.

12.8 Despite the average industry prescribed asset ratio being above the required minimum, 2 reinsurers had no investments in prescribed asset ratio.

12.9 Reinsurers with prescribed asset ratios below the minimum required ratio should invest a total of \$22,000 for them to be compliant.

12.10 Reinsurers are required to comply with the prescribed asset ratio of 7.5%.

Table 8: Prescribed Asset Ratio for Composite Reinsurers

Reinsurer	Prescribed assets \$(000)	Total assets \$(000)	Prescribed asset ratio %	Amount required to be compliant \$(000)	Variance in compliance %
1. Baobab Re	1 000	13 217	7.57%	0	0%
2. FBC Re	1 870	23 584	7.93%	0	0%
3. FM Re	406	3782	10,74%	0	0%
4. Grand Re	0	23	0%	2	7.5%
5. Zep Re	0	298	0%	22	7.5%
Total	3 276	40 904	8.01%	24	0%

13. Actuarial Matters

13.1 Composite reinsurers had enough assets to cover liabilities as at 30 September 2018 with total assets of \$48.43 million as compared to technical liabilities amounting to \$5.96 million as at the same date (See appendix B2).

13.2 These technical liabilities were composed of future policyholder benefits, unearned premium reserve, outstanding claims reserve, incurred but not reported claims reserve and life fund reserve.

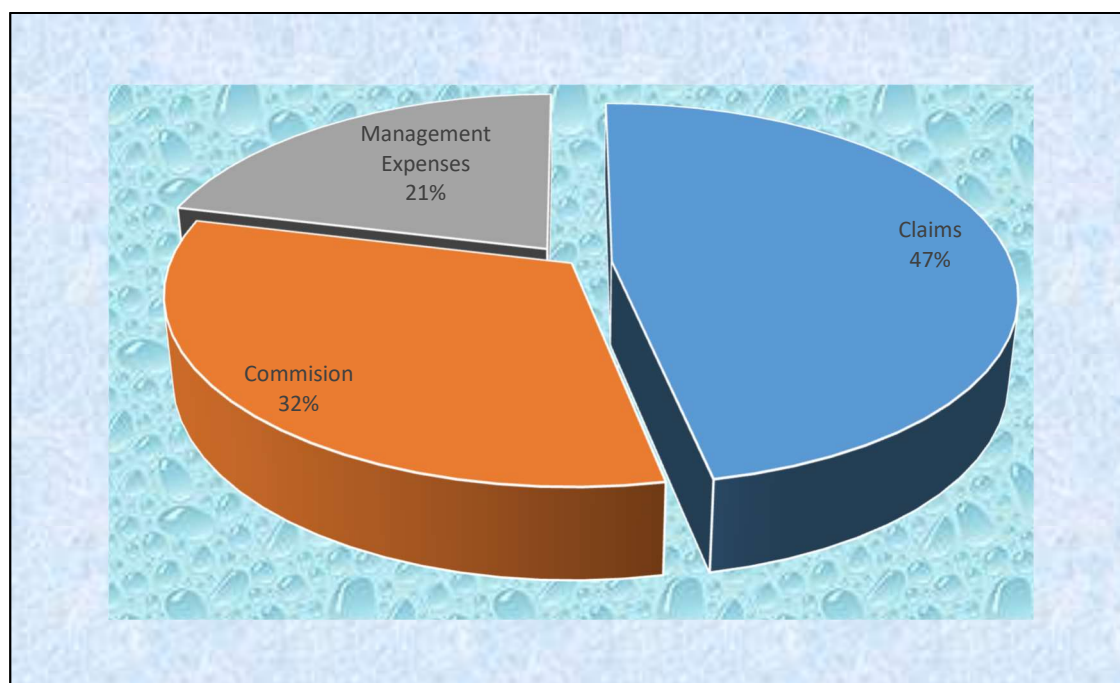
13.3 The major component of the reserves was the life fund which constituted 82% of the total reserves.

13.4 Players are encouraged to periodically review their technical reserves to make sure that they are adequate.

14. Earnings

- 14.1 Profit after tax for composite reinsurers amounted to 1.08 million for the nine months ended on 30 September 2018, representing a decrease of 9.57% from \$1.19 million reported for the comparable period in 2017. (See appendix B2).
- 14.2 The decrease in profits was as a result of an increase in commissions and management expenses by 21.46% and 2.52% respectively.
- 14.3 Average return on equity for the industry was 4.22% while average return on assets was 2.22% indicating lower levels of profitability (See appendix B1).
- 14.4 For the period from 1 January to 30 September 2018, claims constituted 47% of total costs while commissions constituted 32%. Industry players should find ways to reduce the level of commissions which are seemingly higher than the maximum limit of commissions which are being charged in the market. Figure 7 below shows the total cost breakdown.

Figure 7: Breakdown of Costs



15. Liquidity

15.1 Liquid assets for composite reinsurers constituted 22.27% of total assets as 30 September 2018 (See appendix B1). This level of liquidity is commendable for the industry and is in line with the short term nature of liabilities of reinsurance contracts.

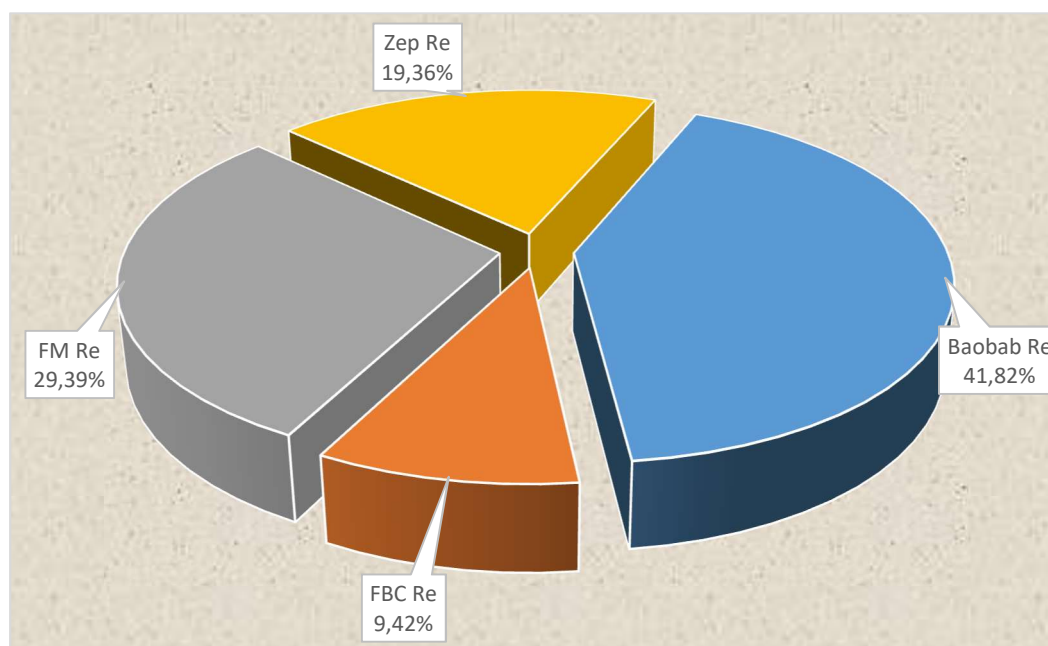
15.2 The working capital of composite reinsurers supporting their reinsurance business was \$15.12 million while the acid test ratio was 165% as at 30 September 2018. This further indicates adequate current assets to cover current liabilities (See appendix B1).

16. Market Share

16.1 Market share in terms of reinsurance GPW for composite reinsurers was dominated by 2 players namely Baobab reinsurance and First Mutual reinsurance with a combined market share of 71.21 %.

16.2 The remaining 28.79% was shared by two reinsurers, FBC and Zep reinsurance as Grand reinsurance did not write any business for the period under review (See appendix B1).

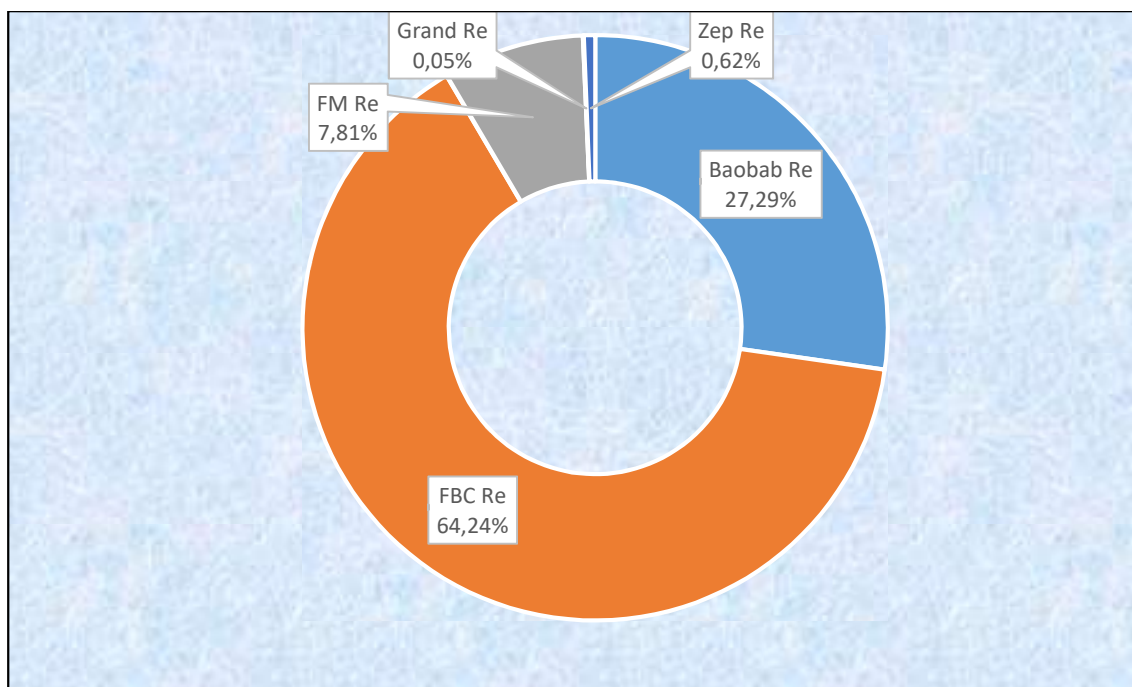
Figure 8: Market Share of Life Reinsurers by GPW



16.3 In terms of total assets two players namely FBC reinsurance and Baobab reinsurance dominated the market with markets shares of 64.24% and 27.29% respectively and a combined market share of 91.53%.

16.4 The remaining 8.47% of assets are with the 3 reinsurers namely Grand reinsurance, Zep reinsurance and FM reinsurance.

Figure 9: Market Share in Terms of Assets





Section C Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR LIFE ASSURANCE COMPANIES												
	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total/ Average
Key Performance Indicator												
Capital Adequacy												
Capital Position (\$ 000)	19 817	15 668	3 202	3 999	74 961	5 391	7 074	17 192	320 877	16 590	28 243	507 477
Capital Coverage Ratio (CCR)	396,34%	313,36%	64,04%	79,98%	1499,22%	107,82%	141,48%	343,84%	6417,54%	331,80%	564,86%	2255,45%
Equity/Total Assets Ratio	76,22%	60,63%	87,25%	3,82%	29,28%	12,51%	72,38%	12,51%	15,80%	30,80%	24,39%	18,51%
Solvency Margin	425,46%	1452,09%	1609,05%	6,23%	46,75%	3906,52%	337,66%	15,00%	19,29%	48,20%	36,25%	27,04%
Asset Quality												
Total Assets (\$ 000)	26 002	25 842	3 670	104 612	256 017	7 905	9 774	137 450	2 030 266	53 862	115 783	2 771 183
Investments to Total Assets	66,96%	62,34%	32,02%	33,20%	27,97%	12,97%	6,86%	30,24%	6,86%	30,24%	74,53%	14,58%
Non-Interest Generating Assets/Total Assets	31,75%	27,34%	82,34%	85,69%	90,21%	84,72%	95,73%	95,19%	95,73%	95,19%	87,32%	92,63%
Fixed Assets/Total Assets	1,07%	1,23%	4,41%	0,00%	0,00%	0,00%	82,55%	60,94%	94,66%	1,37%	0,06%	0,06%
Prescribed Assets Ratio	19,35%	7,29%	2,72%	17500,00%	4,78%	0,00%	4,78%	0,00%	0,00%	8,27%	17,87%	11,66%
Premium Debtors/Gross Premium	7,07%	9,10%	1,46%	122,14%	21,21%	26,35%	158,81%	26,35%	0,51%	6,87%	23,88%	17,66%
Premium Debtors/Total Assets	2,26%	4,68%	0,19%	11,24%	2,54%	15,01%	10,42%	15,01%	0,03%	1,26%	4,03%	1,92%
Reinsurance												
Risk Retention Ratio	96,48%	94,87%	99,37%	97,58%	98,92%	100,00%	98,91%	100,00%	98,50%	95,28%	97,12%	98,49%
Actuarial												
Total Assets/Total Reserves	1179,23%	2395,00%	4959,46%	164,91%	161,22%	127,19%	122,32%	158,50%	150,61%	158,50%	150,61%	146,99%
Earnings												
Profit After Tax (000)	3031	3409	27	6410	22746	4753	94	4 753	255764	2326	14427	314854
Return on Equity	15,29%	21,76%	0,84%	160,29%	30,34%	34,63%	1,33%	27,65%	79,71%	14,02%	51,08%	61,37%
Return on Assets	11,66%	13,19%	0,74%	6,13%	8,88%	23,62%	0,96%	3,46%	12,60%	4,32%	12,46%	11,36%
Loss Ratio	41,26%	52,56%	13,03%	29,20%	35,58%	10,28%	12,93%	28,79%	60,41%	43,81%	31,83%	44,57%
Net Commission Ratio	9,19%	0,00%	20,67%	4,57%	4,13%	11,95%	6,24%	8,25%	1,19%	15,15%	8,71%	4,65%
Net Expense Ratio	27,75%	34,72%	50,63%	41,01%	35,31%	66,35%	89,59%	35,02%	10,36%	34,29%	32,83%	24,65%
Combined Ratio	78,20%	87,28%	84,32%	74,78%	75,02%	88,58%	108,76%	72,06%	71,97%	93,26%	73,37%	73,87%
Investment Income/Total Financial Assets	2,83%	18,20%	0,00%	-3,65%	14,78%	4,36%	1,68%	13,40%	129,46%	8,63%	10,73%	54,93%
Liquidity												
Working Capital	15 952	19 762	569	18 777	32 118	6 626	1 512	51 440	84 917	2 839	15 299	249 811
Current ratio	6368,75%	211,69%	219,67%	-50,33%	317,01%	0,00%	0,00%	0,00%	0,00%	130,15%	9904,45%	561%
Liquid assets as a percentage of total assets	68,25%	72,66%	0,25%	14,31%	9,79%	16,00%	7,04%	15,28%	4,27%	4,81%	12,68%	7,35%
Market Shares												
Market Share Based on GPW	2,77%	4,42%	0,16%	3,20%	10,22%	0,54%	0,35%	26,04%	42,68%	3,27%	6,50%	100%
Market Share Based on NPW	2,71%	4,26%	0,16%	3,17%	10,26%	0,54%	0,21%	26,44%	42,68%	3,16%	6,41%	100%
Market Share Based on Total Assets	0,94%	0,93%	0,13%	3,77%	9,24%	0,29%	0,35%	4,96%	73,26%	1,94%	4,18%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 30 SEPTEMBER 2018 (000)

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Gross Written Premiums	8 322	13287	479	9 626	30 722	1 615	641	78 295	128 323	9 833	19 543	300 686
Reinsurance Premiums	293	682	3	233	333	19	7		1 931	464	562	4527
Net Written Premiums	8 029	12 605	476	9 393	30 389	1 596	634	78 295	126 392	9 369	18 981	296 159
Increase/(Decrease) in UPR	193	46				142		18709				19090
Net Earned Premiums	7 836	12 559	476	9 393	30 389	1 454	634	59 586	126 392	9 369	18 981	277 069
Transfer to IBNR	-69	1 145	-4			45					130	1 247
Claims paid	1 656	5 480	66		9 787	119	82	22 545	76 357	4 105	5 322	
Outstanding claims	863			2 743	1 024						589	5 219
Net claims	2 450	6 625	62	2 743	10 811	164	82	22 545	76 357	4 105	6 041	131985
Net Commission Incurred	765		99	440	1269	193	40	6460	1531	1490	1 702	13989
Technical Result	4 621	4 789	315	6 210	18 309	1 097	512	30 581	48 504	3 774	11 238	129 950
Operating Expenses	2228	4032	241	3852	10731		568		13100	3213	5 341	43306
Underwriting Result	2 393	757	74	2 358	7 578	1 097	-56	30 581	35 404	561	5 897	86644
Management expenses	0	345				1059		27417			891	29712
Investment Income	526	3 417		-1359	11951	78	51	3061	225343	1398	9399	253865
Unrealised Gains/Losses	130				1257	2491	19			557	22	4476
Other expenses		475	47	1854	2830	740	1	3699		62		9708
Other Income		105		8994	9302	0	81	2778				21260
Profit Before Tax	3 049	3 459	27	8 139	26 001	1 867	94	5 304	260 747	2 454	14 427	325 568
Taxation	18	50		1729	3255			551	4983	128		10714
Profit After Tax	3 031	3 409	27	6 410	22 746	1 867	94	4 753	255 764	2 326	14 427	314854
Transfer to policyholders funds			1	4 280	18 155				201 251	2 172	10 688	236 547
Dividends												0
Retained Income	3 031	3 409	26	2 130	4 591	1 867	94	4 753	54 513	154	3 739	78307



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 SEPTEMBER 2018 (000)

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
ASSETS												
Non-Current Assets												
Intangible assets	278	318	162							737	73	1568
Property and equipment	2037	1526	53	4825	12646	118	128	34018	1 117	451	940	
Investment property	4243	2084	1523	16553	132560	380	380	4220	408 130	2785	21 699	
Investments and securities	870		1175	22274	52181	524	524	1847	87 294	13599	72 896	253 184
Investment assets		1928	100		21800	210	5221	2212	1 359 834	397		
Investments in Associated Companies					3590		1815					5 405
Other Non-Current Assets				26 492			0	41471	65387	32625		165 975
Total Non-Current Assets	7 428	5 856	3 013	70 144	222 777	1 232	8 068	83 768	1 921 762	50 594	95 608	2 470 250
Technical Assets												
Reinsurers' Share of O/S Claims												0
Deferred Acquisition Cost (DAC)	232											232
Total Technical Assets	232	0	0	0	0	0	0	0	0	0	0	232
Current Assets												
Cash & bank balances	1 206	2667	9	2 506	9 220	1 063	483	5024	34 734	-95	1 287	58 104
Short term investments	16540	16110		2729	15843	202	202	15 975	52033	2687	13 400	135721
Other investments				9 731			3					9 734
Premium Receivables	588	1 209	7	11 757	6 515	5 398	1 018	20 627	651	676	4 666	53 112
Intercompany Investments			639									639
Other current assets	8		2	7745	1662	10		12056	21086		822	43 391
Total Current Assets	18 342	19 986	657	34 468	33 240	6 673	1 706	53 682	108 504	3 268	20 175	300 701
TOTAL ASSETS	26 002	25 842	3 670	104 612	256 017	7 905	9 774	137 450	2 030 266	53 862	115 783	2 771 183
Liabilities												
Deferred Tax Liabilities			84	126	16033	1	1	1938	26028	787	667	29506
Future policyholders benefits	2205		74	63435	158801	2231	2095	108064	1659774	33983	76878	1885304
Short term loans					367							
Long term Loans				21361				1427			363	1790
Current Tax provisions			1							-9		-8
Gross Outstanding Claims	863		23	791	1 122				3321	438	589	7 147
IBNR	458	989	24		436	86	104				296	2393
UPR	1 132	90	78			52	306	890			139	2687
Creditors		8871	120		4 297	97		5 697		2 073	4 321	21 179
Amount due to reinsurers		570	51	55							45	721
Other Liabilities	1 527	-346	13	14845		47	194	2242	20 266		4 242	43030
Total Liabilities	6 185	10 174	468	100 613	181 056	2 514	2 700	120 258	1 709 389	37 272	87 540	1 993 749
SHAREHOLDERS' EQUITY												
Share Capital				1089	1	20	4602	400	132	232	200	6676
Share Premium	1 388	5 685	2 128	671	2 606	4 602	20		29 990	4432	450	51972
Revaluation & Other Reserves			194	842	36			6366	18194	9367	2 478	37477
Treasury shares				-10								
Prior years earnings	15 399	5330	854	-723	14378	-1101	-1256	5674	223048	2405	21 376	
Current year retained	3 031	4653	26	2 130	3 758	1 870	3 708	4 752	49 513	154	3 738	77333
Minority interest					54 182							
Shareholders's Equity	19 818	15 668	3 202	3 999	74 961	5 391	7 074	17 192	320 877	16 590	28 242	513 014
TOTAL EQUITY & LIABILITIES	26 003	25 842	3 670	104 612	256 017	7 905	9 774	137 450	2 030 266	53 862	115 782	2 771 183



APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN FOR LIFE ASSURERS

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Sep-17	Sep-18	Growth (%)	Sep-17	Sep-18	Growth (%)	Sep-17	Sep-18	Growth (%)	Sep-17	Sep-18	Growth (%)	Sep-17	Sep-18	Growth (%)
CBZ Life	228	287	25,88%	5 203	5 739	10,30%	1126	1233	9,50%	770	1 063	38,05%	7 327	8 322	13,58%
Econet Life	402	322	-19,90%	6 325	12 591	99,07%	0	0	0,00%	395	374	-5,32%	7 122	13 287	86,56%
Evolution Health and Life	160	2	-98,75%	371	477	28,57%	0	0	0,00%	0	0	0,00%	531	479	-9,79%
fidelity Life	165	953	477,58%	3311	2763	-16,55%	3	30	900,00%	4741	5880	24,02%	8 220	9 626	17,10%
First Mutual life	1557	1 884	21,00%	12890	13825	7,25%	1	50	4900,00%	11574	14963	29,28%	26 022	30 722	18,06%
Getsure Life	70	127	81,43%	760	833	9,61%	300	297	0,00%	127	358	-100,00%	1 257	1 615	28,48%
Heritage Life	0	18	0,00%	1036	623	-66,29%	3	0	0,00%	0	0	0,00%	1 039	641	-38,31%
Nyaradzo Life	839	1 120	33,49%	46885	54586	16,43%	58	83	43,10%	20 257	22506	11,10%	68 039	78 295	15,07%
Old Mutual Life	2332	6 479	177,83%	13075	8704	100,00%	42658	42784	0,00%	63967	70356	0,00%	122 032	128 323	5,16%
ZB Life	39	165	323,08%	3794	4113	8,41%	140	612	0,00%	4489	4943	0,00%	8 462	9 833	16,20%
Zimnat Life	1546	1 719	11,19%	4616	6818	0,00%	1422	1825	22,08%	8315	9181	100,00%	15 899	19 543	22,92%
TOTAL	7338	13 076	78,20%	98 266	111 072	13,03%	45711	46914	2,63%	114 635	129 624	13,08%	265 950	300 686	13,06%



APPENDIX A5 LIFE ASSURANCE INDUSTRY STRUCTURE AS AT 30 SEPTEMBER 2018

Name Of Company	Corporate Agents		Sole Agents		Staff		Branches	
	Sep-17	Sep-18	Sep-17	Sep-18	Sep-17	Sep-18	Sep-17	Sep-18
CBZ Life	4	3	27	54	42	42	1	1
Econet Life	0	0	0	0	10	10	1	1
Evolution Health and Life	0	0	0	0	28	28	11	11
Fidelity Life	0	0	17	216	99	99	7	7
First Mutual Life	0	0	118	216	180	182	9	9
Getsure Life	1	1	22	22	18	18	5	5
Heritage Life	0	0	19	21	13	16	5	5
Nyaradzo Life	10	10	269	303	946	1046	47	47
Old Mutual Life	8	8	237	245	356	356	6	6
ZB Life	0	0	84	339	44	46	13	13
Zimnat Life	0	0	17	252	80	86	5	5
Total	23	22	810	1668	514	1929	57	110

APPENDIX B1. KEY PERFORMANCE INDICATORS FOR COMPOSITE REASSURERS						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total/ Average
Key Performance Indicator						
Capital Adequacy						
Capital Position (\$ 000)	7 948	7 207	2 222	-50	670	17 997
Capital Coverage Ratio (CCR)	317,92%	288,28%	88,88%	-2,00%	26,80%	79,99%
Equity/Total Assets Ratio	60,13%	47,36%	58,76%	-217,39%	224,83%	52,70%
Solvency Margin	159,47%	477,63%	1073,91%	-5000,00%	178,67%	295,06%
Asset Quality						
Total Assets (\$ 000)	13 217	31 112	3 783	23	298	48 433
Investments to Total Assets	68,62%	56,85%	75,13%	0,00%	0,00%	61,12%
Non-Interest Generating Assets/Total Assets	87,87%	65,35%	50,17%	0,00%	0,00%	70,51%
Fixed Assets/Total Assets	0,00%	0,00%	0,00%	26,09%	0,00%	0,00%
Prescribed Assets Ratio	7,57%	7,93%	10,74%	0,00%	0,00%	8,01%
Premium Debtors/Gross Premium	109,38%	0,00%	14,87%	0,00%	22,27%	54,43%
Premium Debtors/Total Assets	23,92%	0,00%	7,98%	0,00%	100,00%	7,77%
Reinsurance						
Risk Retention Ratio	88,10%	80,95%	86,90%	0,00%	98,13%	89,02%
Actuarial						
Total Assets/Total Reserves	265,19%	1008,49%	1827,54%	0,00%	78,42%	1285,04%
Earnings						
Profit After Tax (000)	682	138	-73	-9	339	1077
Return on Equity	8,58%	0,94%	-3,28%	18,00%	50,60%	4,22%
Return on Assets	5,16%	0,44%	-1,93%	-39,13%	113,76%	2,22%
Loss Ratio	22,35%	31,88%	75,52%	0,00%	35,57%	41,03%
Net Commission Ratio	29,86%	20,58%	17,87%	0,00%	27,04%	24,82%
Net Expense Ratio	27,45%	11,76%	18,47%	0,00%	3,81%	18,48%
Combined Ratio	82,91%	69,07%	114,56%	0,00%	66,41%	87,29%
Investment Income/NPW Ratio	0,00%	11,76%	0,00%	0,00%	0,00%	1,01%
Investment Income/Total Financial Assets	2,57%	0,12%	5,27%	0,00%	0,00%	1,41%
Liquidity						
Working Capital	4 495	8 807	831	-50	670	15 122
Current ratio	1659,72%	137,03%	161,28%	23,29%	5960,00%	165%
Liquid assets as a percentage of total assets	12,13%	34,65%	49,83%	73,91%	0,00%	29,49%
Market Shares						
Market Share Based on GPW	41,82%	9,42%	29,39%	0,00%	19,36%	100%
Market Share Based on NPW	41,39%	8,57%	28,69%	0,00%	21,35%	100%
Market Share Based on Total Assets	27,29%	64,24%	7,81%	0,05%	0,62%	100%

APPENDIX B2. STATEMENT OF COMPREHENSIVE INCOME FOR COMPOSITE REASSURERS FOR THE PERIOD ENDED 30 SEPTEMBER 2018 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
Gross Written Premiums	2 890	651	2 031		1 338	6 910
Retrocessions Premiums	344	124	266		25	759
Net Written Premiums	2 546	527	1 765	0	1 313	6 151
Increase/(Decrease) in UPR					102	102
Net Earned Premiums	2 546	527	1 765	0	1 211	6 049
Transfer to IBNR	-7				20	13
Outstanding claims						0
Claims recovered	-13					
Paid Claims	569	168	1 333	7	447	2524
Net claims	549	168			467	
Net Commission Incurred	863	134	363		355	1715
Technical Result	1 134	225	69	-7	389	1 810
Operating Expenses	699		326		50	1075
Underwriting Result	435	225	-257	-7	339	735
Management expenses		62				62
Investment Income	243	23	183			449
Unrealised Gains/Losses						0
Other expenses				2		2
Other Income	6		1			7
Profit Before Tax	684	186	-73	-9	339	1 127
Taxation	2	48				50
Profit After Tax	682	138	-73	-9	339	1077
Transfer to policyholders funds						0
Dividends						0
Retained Income	682	138	-73	-9	339	1077

APPENDIX B3. STATEMENT OF FINANCIAL POSITION FOR COMPOSITE REASSURERS AS AT 30 SEPTEMBER 2018 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
ASSETS						
Non-Current Assets						
Intangible assets						0
Property plant and equipment	15	382	11	6		
Investment property						
Investments and securities	7 850	2997	1585			12 432
Life reinsurance contracts assets	570					
Deferred tax	2	452				
Investment assets		5182				5 182
Other Non-Current Assets						0
Total Non-Current Assets	8 437	9 013	1 596	6	0	19 052
Technical Assets						
Reinsurers' Share of O/S Claims						0
Deferred Acquisition Cost (DAC)						0
Total Technical Assets	0	0	0	0	0	0
Current Assets						
Cash & cash equivalents	383	1270	628	16		2 297
Money Market Investments	1220	9509	1257			11986
Current Prescribed Assets						0
Premium Receivables	3 161		302		298	3 761
Intercompany Investments						0
Inventory and Other Debtors	16	11320		1		11 337
Total Current Assets	4 780	22 099	2 187	17	298	29 381
TOTAL ASSETS	13 217	31 112	3 783	23	298	48433
Liabilities						
Deferred Tax Liabilities			-3			-3
Future policyholders benefits			113			113
Short term provisions	352	2835				3187
Loans						0
Current Tax provisions						0
Gross Outstanding Claims			485	1	5	491
IBNR			94		31	125
UPR					344	344
Life fund	4 632	250				4882
Creditors						0
Amount due to retrocessions	216		531			747
Other Creditors	69	13292	340	72	-752	13021
Total Liabilities	5 269	16 377	1 560	73	-372	22907
SHAREHOLDERS' EQUITY						
Share Capital	488	800	1	14		1303
Share Premium	6 281	4 803	2 287			13371
Revaluation & Other Reserves		70				70
Retained earnings prior years	493	8924	8	-55	670	
Retained Profit	686	138	-73	-9		742
Others						
Shareholders's Equity	7 948	14 735	2 223	-50	670	25 526
TOTAL EQUITY & LIABILITIES	13 217	31 112	3 783	23	298	48 433

